

FY27 OPERATING PLAN

APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

FY27 branch revenue driver forecast

Apply price only to non-pass-through revenue; pass-through equipment receives volume but no price escalation.

Construction backlog conversion is incremental to the run-rate bridge; Service expansion ARR is not renewal revenue.

The three branch allocations must sum to the independently queried posted LTM revenue population before forecasting.

FY27 EBITDA scenario model

Model each branch with its scenario-specific revenue growth and gross margin; do not apply a consolidated blanket driver.

For EBITDA, grow the posted operating-expense population by scenario and exclude the separately approved FY27 depreciation amount once before deducting variable opex.

Calculate working-capital investment as scenario FY27 revenue multiplied by the scenario NWC rate. Free cash flow equals EBITDA less cash tax, capex, and that working-capital investment; do not apply a second depreciation add-back.

Phase each scenario's annual free cash flow through the approved quarterly liquidity bridge, apply seasonal cash adjustments and scheduled principal, and use revolver draws or repayments to maintain the minimum-cash policy without exceeding the commitment.

Bridge Downside and Upside to Base by branch revenue and margin, consolidated EBITDA and free-cash-flow driver, and liquidity quarter; reconcile the bridges to zero and identify the primary EBITDA driver and liquidity quarter.

From the controller-approved downside action register, select the smallest executable action set that restores the board EBITDA-margin and free-cash-flow guardrails, minimize implementation cash cost, and carry only the selected levers through a formula-driven 13-week cash and revolver bridge.

Apply the executed lender definitions to Base, Downside, and Downside after the selected actions: roll the committed term debt and quarterly revolver, calculate cash interest, gross leverage, and fixed-charge coverage, and state the controller release decision only after the covenant and liquidity tests agree.

Twelve-month operating-expense reforecast

Use the monthly plan population plus only approved monthly events; do not annualize a partial-year hire or saving.

Exclude depreciation from the posted operating-expense anchor. Interest is already outside that population and remains separately disclosed; do not subtract it a second time.

Rank unfavorable functions by full twelve-month dollar variance after applying effective-month timing.

Service revenue price-volume-mix variance

Use the Q2 service product-detail population in the current controller-reviewed v6 planning workbook; the prior v4 branch draft is comparison-only.

Use the budget portfolio-average unit price for the total-volume effect.

Calculate mix using actual units at each product's budget price versus those same units at the budget portfolio-average price.

Calculate price on actual units and show executed SLA credits after the gross PVM bridge.

Optimize the reviewed q3 service recovery action register under its cash budget, implementation hours limit, maximum action count, approval status, and dependencies. Maximize probability-weighted incremental service contribution less action cash cost; break an economic tie by lower cash cost.

Report `service\_recovery\_action\_analysis` for every register action with action, eligibility, dependency satisfaction, cash cost, gross financial effect, realization probability, probability-weighted effect, capacity units, and selection. Reconcile the selected portfolio's gross and probability-weighted effects, cash cost, expected net effect, cash and capacity headroom, action count, and release conclusion.

Then remove each register action one at a time and reoptimize under the same rules. Report `service\_recovery\_outage\_analysis` in source order with the unavailable action, replacement selection, selected economics, cash and capacity headroom, action count, expected-net value loss versus the base optimum, and release conclusion. Identify the worst outage, its expected net effect and value loss, and whether every outage case clears the release threshold.

Use the reviewed q3 service recovery action register scenario controls to reoptimize the action register independently for every scenario in source order. Apply each scenario's gross-effect, probability, cash-cost, capacity, budget, approval, and action-count controls before selecting the best feasible portfolio; do not carry a selection mechanically from the steering base.

Return `service\_recovery\_scenario\_action\_analysis` with one row per scenario and register action showing scenario, action, eligibility, dependency satisfaction, adjusted cash cost, gross effect, probability, probability-weighted effect, capacity units, and selection. Return `service\_recovery\_scenario\_summary` with selected actions and reconciled economics, cash/capacity limits and headroom, count, value loss versus the steering base, and release conclusion. Identify the worst scenario, its expected net effect and maximum value loss, and whether every scenario clears the release threshold.

Stage every action in the selected steering-base q3 service recovery action register portfolio into Q1 or Q2. Maximize Q1 probability-weighted effect less cash cost while the complete plan respects each stage's cash, implementation hours, action-start, and dependency limits; break a tie by lower Q1 cash cost.

Return `service\_recovery\_execution\_stage\_analysis` for each selected action and `service\_recovery\_execution\_stage\_summary` for Q1 and Q2, reconciling cash, probability-weighted effect, net effect, capacity, all limits and headroom, start counts, and release conclusions. Identify Q1 starts, Q1 and full-plan expected net effects, and whether the staged plan is release-ready.

Tie each reviewed service case to the source-derived priority-product recovery target in `service\_recovery\_release\_bridge`. Show the selected expected-net effect, target coverage, remaining headroom, cash/capacity headroom, threshold status, and final management-release status by scenario. Reconcile the Q1 staged effect and full-plan effect to the selected base portfolio, identify the worst case, and state the controller decision.

Allocate each scenario's selected service actions to the priority product identified in the action names in `service\_priority\_product\_allocation`. For every service scenario, show the assigned actions and their adjusted gross effect, probability-weighted effect, cash cost, expected-net recovery, target coverage, headroom, and release status; identify the worst priority-product case and state the decision.

Construction gross-margin driver bridge

Bridge in this order: volume at the portfolio budget margin, contract price at worktype budget margin, labor rate, labor productivity, material price, subcontractor, then mix.

Use actual post-price revenue for rate and cost effects; isolate productivity from wage-rate variance.

The worktype bridge must reconcile to the computed actual gross profit and actual revenue without a plug.

Optimize the reviewed construction margin recovery action register under its cash budget, project-management hours limit, maximum action count, approval status, and dependencies. Maximize probability-weighted incremental construction gross profit less action cash cost; break an economic tie by lower cash cost.

Report `margin\_recovery\_action\_analysis` for every register action with action, eligibility, dependency satisfaction, cash cost, gross financial effect, realization probability, probability-weighted effect, capacity units, and selection. Reconcile the selected portfolio's gross and probability-weighted effects, cash cost, expected net effect, cash and capacity headroom, action count, and release conclusion.

Then remove each register action one at a time and reoptimize under the same rules. Report `margin\_recovery\_outage\_analysis` in source order with the unavailable action, replacement selection, selected economics, cash and capacity headroom, action count, expected-net value loss versus the base optimum, and release conclusion. Identify the worst outage, its expected net

effect and value loss, and whether every outage case clears the release threshold.

Use the reviewed construction margin recovery action register scenario controls to reoptimize the action register independently for every scenario in source order. Apply each scenario's gross-effect, probability, cash-cost, capacity, budget, approval, and action-count controls before selecting the best feasible portfolio; do not carry a selection mechanically from the steering base.

Return `margin\_recovery\_scenario\_action\_analysis` with one row per scenario and register action showing scenario, action, eligibility, dependency satisfaction, adjusted cash cost, gross effect, probability, probability-weighted effect, capacity units, and selection. Return `margin\_recovery\_scenario\_summary` with selected actions and reconciled economics, cash/capacity limits and headroom, count, value loss versus the steering base, and release conclusion. Identify the worst scenario, its expected net effect and maximum value loss, and whether every scenario clears the release threshold.

Stage every action in the selected steering-base construction margin recovery action register portfolio into Q1 or Q2. Maximize Q1 probability-weighted effect less cash cost while the complete plan respects each stage's cash, project-management hours, action-start, and dependency limits; break a tie by lower Q1 cash cost.

Return `margin\_recovery\_execution\_stage\_analysis` for each selected action and `margin\_recovery\_execution\_stage\_summary` for Q1 and Q2, reconciling cash, probability-weighted effect, net effect, capacity, all limits and headroom, start counts, and release conclusions. Identify Q1 starts, Q1 and full-plan expected net effects, and whether the staged plan is release-ready.

Tie each reviewed construction case to the full gross-profit recovery required to restore budget margin in `margin\_recovery\_release\_bridge`. Show actual and protected gross profit, selected expected-net effect, recovery coverage, remaining gap, cash/capacity headroom, and management-release status by scenario. Reconcile Q1 and full-plan staged effects, identify the worst case, and state the controller decision.

FY27 field workforce plan

Compute productive capacity by trade and month; apprentices and journey workers are not interchangeable.

New hires contribute only 65% of standard productive capacity during their average six-month training/ramp exposure.

Apply wage escalation and benefits/burden to paid hours; compare the formula-driven total with the approved cost plan.

Forecast accuracy and bias backtest

Forecast error is forecast minus actual; positive values are over-forecasting.

Exclude February 2026 from MAPE only, but retain it in the all-month WAPE numerator and denominator.

Compute business-unit bias as the signed dollar sum over all twelve months, then rank by absolute bias.

Use July through March, excluding the acquisition month, to estimate each unit's weighted signed bias; divide the April-through-June locked forecast by one plus that rate, validate the adjustment out of sample, and release only corrections that reduce validation WAPE.

Branch contribution and economic-profit ranking

Allocate the invoice-driven pool by customer-invoice count and the people/systems pool by active employees; do not allocate either pool by revenue.

Economic profit equals allocated operating profit less the capital charge on average invested capital.

Rank contribution margin before corporate allocation; identify every negative economic-profit branch after allocation and capital charge.

For Bend, stage the documented ten-percent revenue ceiling and controllable-cost cap before solving the residual capital release at the policy charge rate; do not call the plan released while capital-committee approval remains pending.

Quantify the revenue and cost-cap breaches that would otherwise be required after the approved actions, compare committee-decline and committee-approval economics, and request only the residual capital release.

Service-contract cohort renewal forecast

Do not probability-weight cohorts already covered by signed multiyear terms.

For annual-renewal cohorts, apply renewal first, then partial downsell, then contractual price escalation.

Signed expansion ARR is incremental after renewal and price. Recognize retained and repriced opening-cohort ARR for the full fiscal year, and prorate each signed expansion from its stated revenue start month through June 2027.

Reconcile opening ARR to the active service-agreement population.

Optimize the reviewed fy27 cohort retention action register under its cash budget, customer-success hours limit, maximum action count, approval status, and dependencies. Maximize probability-weighted protected recurring ARR less action cash cost; break an economic tie by lower cash cost.

Report `renewal\_intervention\_action\_analysis` for every register action with action, eligibility, dependency satisfaction, cash cost, gross financial effect, realization probability, probability-weighted effect, capacity units, and selection. Reconcile the selected portfolio's gross and probability-weighted effects, cash cost, expected net effect, cash and capacity headroom, action count, and release conclusion.

Then remove each register action one at a time and reoptimize under the same rules. Report `renewal\_intervention\_outage\_analysis` in source order with the unavailable action, replacement selection, selected economics, cash and capacity headroom, action count, expected-net value loss versus the base optimum, and release conclusion. Identify the worst outage, its expected net effect and value loss, and whether every outage case clears the release threshold.

Use the reviewed fy27 cohort retention action register scenario controls to reoptimize the action register independently for every scenario in source order. Apply each scenario's gross-effect, probability, cash-cost, capacity, budget, approval, and action-count controls before selecting the best feasible portfolio; do not carry a selection mechanically from the steering base.

Return `renewal\_intervention\_scenario\_action\_analysis` with one row per scenario and register action showing scenario, action, eligibility, dependency satisfaction, adjusted cash cost, gross effect, probability, probability-weighted effect, capacity units, and selection. Return `renewal\_intervention\_scenario\_summary` with selected actions and reconciled economics, cash/capacity limits and headroom, count, value loss versus the steering base, and release conclusion. Identify the worst scenario, its expected net effect and maximum value loss, and whether every scenario clears the release threshold.

Integrate the current ending ARR with each retention scenario's probability-weighted action effect and cash cost. Show one `renewal\_release\_bridge` row per scenario with the current ending ARR, action economics, protected ending value, loss versus the steering base, cash/capacity headroom, the \$300,000 minimum expected-net threshold, and release status; then state the worst case, minimum protected value, all-case status, and release decision.

Show `cohort\_forecast\_analysis` for every source cohort, including the signed-multiyear renewal override, renewal/downsell sequence, contractual escalation, expansion start-month proration, ending ARR, FY27 recurring revenue, and cohort NRR. Reconcile the cohort schedule to every reported portfolio total.

backlog burn and capacity model

Weight signed backlog by the approved execution probability; do not include unsigned pipeline.

Apply each project's own start month and burn curve, then convert revenue to required hours using project-specific productivity.

Available capacity equals productive internal hours plus permitted overtime plus subcontractable hours. Capacity gap equals required hours less available hours: a positive amount is a shortfall and a negative amount is spare capacity.

For every constrained month, stage only the approved emergency-overtime increment before contingent subcontract surge, quantify incremental cost and any unresolved hours, and state whether the delivery plan is capacity-cleared or requires executive sequencing.

Stress the same monthly schedule at 100% execution of signed backlog, without adding pipeline; reapply the approved remediation sequence and bridge revenue, required hours, remediation cost, unresolved hours, and release status to the probability-weighted plan.

Convert the gross-commitment stress into a monthly project-execution schedule using the approved delivery priority and contractual penalty terms: roll unfinished hours forward, quantify completed and deferred revenue, gross profit and liquidated damages by project, and state the portfolio release decision.

Complete a monthly earnings release bridge across the probability plan, gross commitment, and executable priority case: reconcile gross profit before remediation, approved remediation cost, gross profit after remediation, realized net gross profit after damages, deferred revenue at risk, and the management release status.

Close with an executive recovery decision quantifying the gross-commitment earnings shortfall, deferred gross profit, contractual damages, required recovery, and the condition for release.

Cash-conversion and working-capital forecast

Calculate ordinary AR from branch DSO, then add retainage separately; customer deposits reduce net operating working capital.

Apply inventory and payable days to cost of revenue, not revenue.

Operating cash conversion equals EBITDA less cash tax and incremental operating working-capital investment, divided by EBITDA.

Stress each branch with the approved downside revenue, DSO, DIO, DPO, and deposit overlays; then apply only the documented collection, payable, and deposit recoveries and bridge the consolidated cash-conversion effect before deciding whether the mitigated case is releasable.

Bridge the residual mitigated NWC increase to the current-base 13-week peak revolver and remaining commitment, but keep that unapproved treasury timing scenario separate from the controller-tied annual plan.

integrated FY27 operating plan

Reconcile the FY26 company revenue baseline to the Vista ERP before applying branch-specific drivers.

Build revenue, gross profit, fixed and variable opex by branch; corporate opex is consolidated only once.

Free cash flow deducts cash taxes, both capex categories, and working capital on incremental revenue.

The downside case applies the approved revenue decrement, margin compression, and opex mitigation without changing fixed capex.

Phase the annual plan quarterly, roll working capital from the signed opening balance, and calculate interest on beginning funded debt before each funding decision.

Deduct the mandatory scheduled term-debt amortization from cash and principal each quarter before the revolver funding decision. Then use any cash above the operating floor to repay the revolver, or draw only enough to restore the floor, and identify the first draw quarter.

The detailed quarterly cash roll-forward controls FY27 ending cash. Show the annual pre-financing ending-cash estimate separately and reconcile it to quarterly ending cash, including signed NWC-balance, interest, scheduled-principal, and financing effects.

Show the quarterly cash/debt schedule and year-end covenant leverage in addition to the annual base and downside statements.

Rolling forecast variance and corrective actions

Combine YTD actuals with the current H2 forecast; plan comparisons combine YTD plan with H2 plan.

Apply each business unit's current gross margin to its full-year latest forecast and keep forecast opex separate.

Corrective actions enter the outlook only at probability-weighted benefit; do not count full run-rate savings.

Report the post-action EBITDA gap as a positive remaining shortfall magnitude, or zero if the actions fully recover plan.

Rank the business-unit EBITDA misses before corporate corrective actions.

Phase each approved action between Q3 and Q4 and probability-weight benefits. For the action gate, use probability-weighted gross EBITDA benefit divided by implementation cash cost; this is a gross-benefit/cash multiple, not a net ROI calculation.

Measure recovery against the pre-action EBITDA shortfall and report the quarterly benefit, net cash benefit, recovery percentage, and only actions that clear the signed ROI gate.

Backlog, pipeline, and capacity conversion

Risk-adjust signed backlog only for documented cancellation probability, then apply separate H2 and FY27 burn percentages.

Pipeline remains separate from signed backlog and is probability weighted before its FY27 conversion percentage.

Cap the combined FY27 delivery at approved internal capacity before calculating plan coverage; signed backlog consumes capacity before weighted pipeline.

Gross profit uses contract-specific margins for signed delivery and the weighted pipeline margin only on pipeline capacity that remains.

Build a second-stage FY27 delivery portfolio from the controlled candidate schedule. Signed mandatory work must be selected before optional awards.

Maximize risk-adjusted gross profit while enforcing labor hours, bonded revenue, and project-count limits; report the selected portfolio, utilization, headroom, coverage, and best excluded project.

Re-run the portfolio at ninety percent of approved labor capacity, preserving mandatory signed awards. Report the stressed portfolio, revenue, gross profit, labor headroom, best deferred project, and release decision.

Reperform the selection once for each base-selected project as the unavailable project. Reoptimize the remaining candidate set under the same labor, bonded-revenue, mandatory-award, and project-count constraints, and report the exposure, replacement set, reoptimized economics, headroom, and constraint conclusion.

Customer profitability and economic profit

Calculate customer contribution before shared cost allocations and retain warranty/callback cost as directly attributable.

Allocate each shared pool only on its approved driver: revenue, warranty/callback dollars, or DSO.

Economic profit deducts the capital charge from allocated operating profit using average invested capital.

Do not allocate corporate costs on a blanket revenue percentage.

Extend current customer economic profit through the renewal decision. Price value equals current LTM revenue times proposed price increase times (1 - volume elasticity). Expected credit loss equals current LTM revenue times the loss percentage and is probability-weighted once.

For each customer, expected invested capital equals LTM average invested capital less (1 - renewal probability) times capital released on exit. Risk-adjusted renewal economic profit equals renewal probability times (allocated operating profit + price value - retention investment - expected credit loss before probability weighting), less the capital charge on expected invested capital.

Report the probability-weighted renewal portfolio, customers below the signed economic-margin floor, the exit candidate, and capital released; keep these forward decisions separate from LTM allocations.

Stress every renewal probability down twenty percentage points and expected credit loss up fifty percent. Recalculate portfolio economic profit and identify the lowest stressed customer and whether the stressed portfolio clears the signed release floor.

Scenario-weighted earnings and liquidity at risk

Probabilities must sum to 100%; calculate each scenario independently before weighting outputs.

Revenue and gross-margin changes compound; one-time mitigation costs are cash-only below-EBITDA items in the applicable scenario: deduct them from cash flow, not EBITDA.

Convert DSO-day changes to cash using scenario revenue and calculate revolver draws only after pre-financing cash.

EBITDA at risk is the Base-to-Severe decline, not the probability-weighted variance.

Choose a feasible mitigation portfolio separately for Soft landing and Severe. Apply scenario benefit factors, cash costs, the action-count limit, and the Severe mandatory action before recomputing EBITDA and liquidity.

Probability-weight post-mitigation EBITDA only after scenario-level selection; report the Severe selected actions, post-mitigation draw, leverage, and any unfunded revolver shortfall.

FY27 budget-reallocation optimizer

Select the highest three-year risk-adjusted NPV feasible portfolio, not the highest unadjusted EBITDA list.

Include every required initiative and enforce named dependencies before testing the budget and initiative-count caps.

The minimum benefit test uses annual EBITDA benefit multiplied by realization probability.

Report selected initiatives in the source schedule order and retain any unallocated budget as headroom.

Optimize the portfolio across both FY27 and FY28 cash budgets, scarce technician hours, the required resilience initiative, named dependencies, mutual exclusions, initiative count, and branch concentration.

The hardened constraints control the selected portfolio. Report both annual budgets, technician headroom, and resilience count. For the binding-constraint headline, report only numeric policy caps or floors reached exactly: maximum initiative count, either annual cash budget, technician-hour capacity, or minimum resilience count. Dependencies, mutual exclusions, and benefit-domain rules remain feasibility controls rather than binding-headline labels.

System reconciliation schedule

Analysis	Accounting-system reconciliation
FY27 branch revenue driver forecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
FY27 EBITDA scenario model	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP balance sheet as of 2026-06-30; accounts 2200, 2210, and 2300; Vista ERP P&L, 2025-07-01 through 2026-06-30; Operating Expense total; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Twelve-month operating-expense reforecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Operating Expense total
Service revenue price-volume-mix variance	Vista ERP Q2 2026 P&L by department; Service revenue
Construction gross-margin driver bridge	No Alder Ridge ledger tie required
FY27 field workforce plan	Vista ERP employee master at 2026-06-30; active employees
Forecast accuracy and bias backtest	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Branch contribution and economic-profit ranking	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Service-contract cohort renewal forecast	Vista ERP service agreements active at 2026-06-30; annual value
backlog burn and capacity model	No Alder Ridge ledger tie required
Cash-conversion and working-capital forecast	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total; Vista ERP AP aging as of 2026-06-30; open balances before forecast assumptions; Vista ERP AR aging as of 2026-06-30; open balances before forecast assumptions
integrated FY27 operating plan	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts; Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Rolling forecast variance and corrective actions	No Alder Ridge ledger tie required
Backlog, pipeline, and capacity conversion	No Alder Ridge ledger tie required
Customer profitability and economic profit	No Alder Ridge ledger tie required
Scenario-weighted earnings and liquidity at risk	Vista ERP cash detail as of 2026-06-30; unrestricted company cash accounts
FY27 budget-reallocation optimizer	No Alder Ridge ledger tie required